Strategy Update — Q1 FY2026

Group Strategy Office · Zava Conglomerate · For Board Discussion

1. Zava Forward 2030 — Progress

Pillar 1 — Customer-Obsessed Growth: NPS +38 (vs +35 target); Top-30 enterprise win-rate 28% (vs 25% target).

Pillar 2 — Capital Productivity: ROIC 12.4% (vs 12% target); WACC 8.4%; ROIC-WACC spread 400bps.

Pillar 3 — Operational Excellence: 4.2% emissions reduction; LTIFR 1.18; cost-to-income improved 60bps.

Pillar 4 — Digital & Data: 12 of 24 priority workloads migrated to cloud; data fabric live in 4 of 11 divisions.

Pillar 5 — Sustainability & Trust: TCFD reporting expanded; Scope-3 measurement now 11 of 11 divisions.

2. Capital Allocation Update

FY2026 capex envelope: MYR 4.8bn. Committed YTD: MYR 1.1bn. M&A; pipeline value: MYR 1.4bn (Hawthorn + 2 smaller). Dividend MYR 1.6bn declared; payout ratio 38%.

3. Project Hawthorn (M&A;)

Industrial digital solutions target. Indicative EV MYR 720-780M (8.5-9.0x adj EBITDA). Strategic fit High — cross-sell into Banking + Healthcare + Plantation digital programmes.

Synergies: revenue MYR 30-50M / 3yr; cost MYR 4-6M run-rate. Risk: customer concentration trend, change-of-control clauses, founder retention.

4. Operating Plan Adjustments

Plantation guidance revised — FFB headwind to persist into H2. Property guidance held — H2 launches expected to recover.

Banking provisioning recalibrated upward MYR 70M; capital remains comfortably above regulatory minima.

5. Recommendations

(1) Approve Op Resilience Framework. (2) Approve cloud vendor recommendation. (3) Endorse Hawthorn progression to definitive agreement workstream. (4) Note guidance reset.